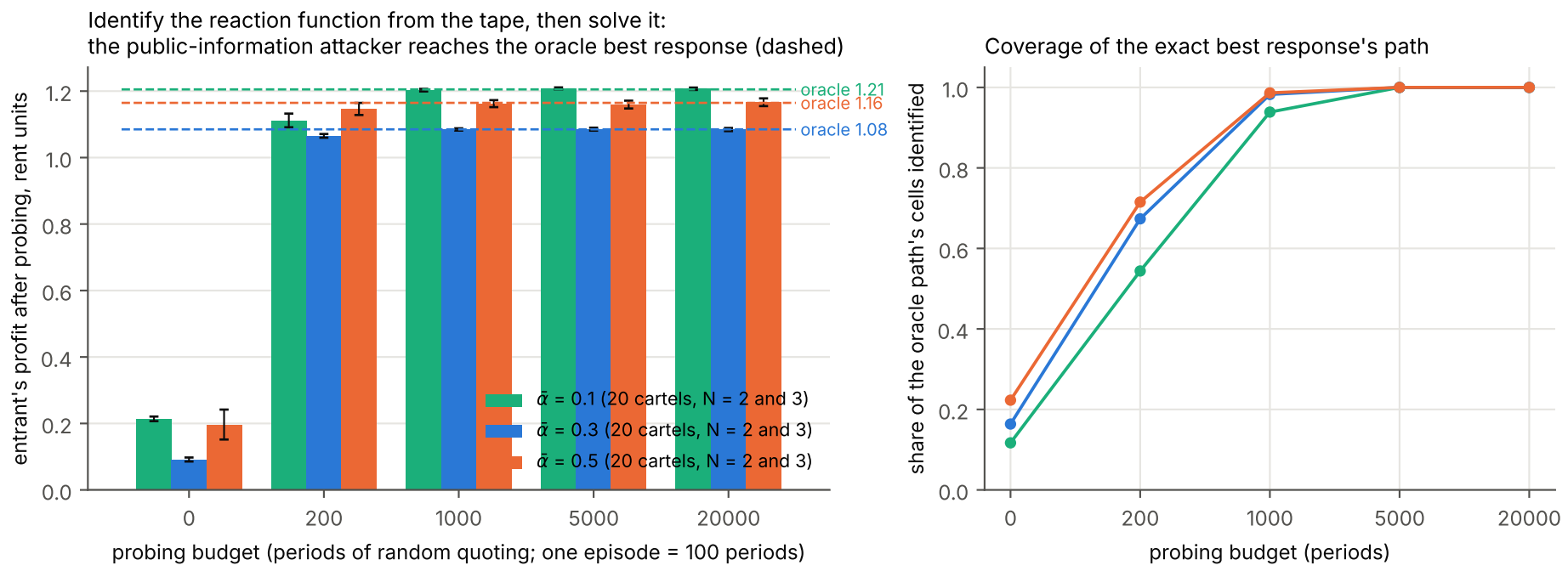
Identify the reaction function from the tape, then solve it:
the public-information attacker reaches the oracle best response (dashed)
entrant's profit after probing, rent units
0.0
0.2
0.4
0.6
0.8
1.0
1.2
oracle 1.21
oracle 1.16
oracle 1.08
$\bar{\alpha}$ = 0.1 (20 cartels, N = 2 and 3)
$\bar{\alpha}$ = 0.3 (20 cartels, N = 2 and 3)
$\bar{\alpha}$ = 0.5 (20 cartels, N = 2 and 3)
0
200
1000
5000
20000
probing budget (periods of random quoting; one episode = 100 periods)
Coverage of the exact best response's path
share of the oracle path's cells identified
0.0
0.2
0.4
0.6
0.8
1.0
0
200
1000
5000
20000
probing budget (periods)